

Start Early & Compounding

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What Is Compounding?

Compounding just means your money makes money — and then **that** money starts making money too. Imagine you invest \$100 and it grows by 10% in a year. You now have \$110. The next year, that 10% growth applies to the full \$110, not just your original \$100 — so you earn \$11 instead of \$10. It sounds small, but stretched over decades, that snowball effect becomes enormous.

Think of a snowball rolling down a long hill. At the top, it barely grows — there isn't much snow to stick to it yet. But the further it rolls, the bigger it gets, and the bigger it gets, the *faster* it picks up even more snow. Money invested early is that snowball right at the top of a very long hill.

Real Example: Sarah vs. Mike

Sarah starts investing \$200 a month at age 25. Mike waits ten years and starts investing \$400 a month — twice as much — at age 35. Both keep going until they retire at 65, and both earn a typical long-run average return of 7% a year.

	Sarah — starts at 25	Mike — starts at 35
Monthly investment	\$200	\$400
Years invested	40 years	30 years
Total contributed	\$96,000	\$144,000
Estimated value at 65	\$524,963	\$487,988

Even though Mike put in **50% more of his own money**, Sarah still ends up ahead — purely because her money had ten extra years to compound. That's the entire lesson in one example.

***Worth knowing:** the 7% figure above is a simplified, illustrative long-run average — real markets go up and down year to year, and past performance never guarantees future returns. The point isn't the exact number; it's the principle that time is one of the most powerful tools you have.*

Quiz Answer Key

- 1 Compounding means your returns start earning their own returns over time.
- 2 An extra decade gives compounding more time to work — that's why starting early matters so much.
- 3 Sarah ends up ahead because her contributions had 10 extra years to compound, not because of better investment choices.
- 4 Delaying investing reduces the time compounding has to work, which can be very hard to fully make up later.
- 5 Main takeaway: time in the market is one of the most powerful tools for building wealth.